

How has the ecosystem developed since the IFSCA was set up in 2020? What initiatives drove this growth?

The biggest success is that we now have a fully functional international financial centre in India. IFSCA has granted over 1,100 registrations across 35 business segments. Our biggest achievement has been putting in place a robust regulatory architecture which is principle-based and aligned with global best practices.

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GIFT City's competition is with centres like Singapore and Dubai. How can it capitalise, more so since the safety and security of Dubai has been exposed by the conflict in West Asia?

Singapore and Dubai are primarily focused on intermediation of financial services because their domestic demand for international financial services is limited. GIFT IFSC's growth, meanwhile, is linked to the larger India growth story.

GIFT IFSC now provides a compelling opportunity to Indian corporates and institutions, which hitherto were going to other global financial centres to avail their financial services requirements. A case in point is the aircraft leasing and financing. Previously, this business was being done from Ireland. More than 370 aviation assets,



“GIFT LINKED TO THE INDIA GROWTH STORY”

K. Rajaraman, Chairman, IFSCA, throws light on initiatives driving growth, and the vision for IFSC

including close to 200 aircraft, have been leased from GIFT IFSC.

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How has it emerged as a gateway for global capital into India as well as outbound investments from the country?

We now have almost 40 banks with total assets of \$106.7 billion; this was just about \$15 billion in 2020. The amount being lent has crossed \$80 billion. And out of the \$80 billion, about \$58 billion has gone to India, and the remaining \$22 billion has gone to 18-20 other jurisdictions. This is now a global financial centre. Cumulative bond

listings on IFSC as of February were over \$70 billion.

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How are you addressing the issues around KYC?

India is a place where money laundering and terrorist financing is a big challenge. So, as far as the Prevention of Money Laundering Act is concerned, we are fully compliant. We are clear we want only clean money. So, KYC is a must. How to make the process simple and easy has been the focus of our attention.

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Recently, Lloyds of London set up operations here. What are the plans

for the insurance space?

In India, a lot of reinsurance is being done by cross-border reinsurers. At least about \$4 billion flows outside the country. How do we onshore this? Today, nearly 20 reinsurers have set up operations here. Last year, \$800 million gross written premium flowed through GIFT City. This year we may see \$1.5 billion.

Also, it's not just about reinsurance support for the Indian market, but also insurance for the global markets. For NRIs, taking dollar insurance out of GIFT City makes sense because they will have the benefit of nomination facility within the country. So, a lot of companies have started selling insurance products to NRIs. With the launch of pension products, the pension industry should take root.

What is the future roadmap?

We want to make GIFT IFSC a dominant gateway for global capital flows into India. We want to leverage the talent advantage of India to become a strong exporter of international financial services from GIFT IFSC. So, our focus would be on sectors such as Global Capability Centres, accounting and taxation outsourcing and fintech.